



Results (standalone) above estimates with Lifestyle growing 249% YoY (+51% Pre-Covid) and Gross Margins at 55%

- Revenue (standalone) grew by 258% YoY to Rs 27739.4mn aided by 249% growth in lifestyle business. Revenue on a QoQ basis was up by 27%.
- EBIDTA margins stood at 17.1% as against loss YoY and 17% QoQ mainly aided by lower raw materials to revenue.
- Gross Margins improved YoY (QoQ momentum was maintained) on account higher share of premium-products wedding and formal witnessed good bounce back.
- EBIDTA for all business i.e Lifestyle, Others including athleisure and innerwear and Pantaloon saw good bounce back and positive contribution to EBIDTA
- PBT for Q1FY23 was profit of Rs 1632mn as against loss of Rs 4489mn YoY.
- PAT stood at Rs 1236mn as against a loss of Rs 3352mn YoY and +148% QoQ.

Outlook:

- Highest ever Q1 sales with 30%+ revenue growth over pre-COVID levels. Business momentum remains strong all price increase absorbed. Wedding Season was strong and premium brand observed much higher growth
- Momentum to continue in upcoming quarters, with a further boost during the festive season.
- E-commerce sales grew 56% YoY with omni channel expanded to 1600 stores
- Net Debt @ Rs 6490mn

Financial Summary

Y/E Mar (Rs mn)	FY20*	FY21*	FY22*	FY23E*	FY24E*
Net sales	87,425	51,811	78,242	1,06,313	1,20,676
Adjusted net profit	(1,439)	(6,496)	(807)	1,476	2,018
EPS (Rs) (post dilution)	(2)	(7)	(1)	2	2
growth (%)	NA	351	(88)	(283)	37
P/E (x)	NA	(39)	(323)	179	140
P/B (x)	20	9	9	4	4
EV/EBITDA (x)	21	48	28	19	18
D/E	2	0.4	0.4	0.3	0.0
RoCE (%)	12	(7)	6	7	7
RoE (%)	(13)	(24)	(3)	3	3

*- Post IND-AS 116

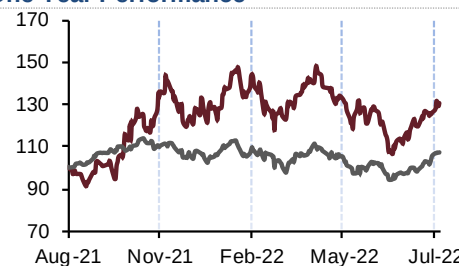
Rating	TP (Rs)	Up/Dn (%)
BUY	322	16

Market data

Current price	Rs	278
Market Cap (Rs.Bn)	(Rs Bn)	261
Market Cap (US\$ Mn)	(US\$ Mn)	3,281
Face Value	Rs	10
52 Weeks High/Low	Rs	322 / 189.35
Average Daily Volume	('000)	2,400
BSE Code		535755
Bloomberg		ABFRL.IN

Source: Bloomberg

One Year Performance



— ABFRL — Nifty Index

Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	56.09	56.09
Public	43.42	43.41
Total	100	100

Source: BSE

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Segments & Concal KTA's

Particulars Rs Mns	Q1FY23	Q1FY22	Q1FY20	YoY	Over FY20
A. Madhura Segment Total	18020	5550	12110	225%	49%
1. Madhura LifeStyle	15200	4350	10060	249%	51%
2. Other Madhura which includes innerwear	2820	1200	2050	135%	38%
B. Pantaloon	10270	2200	8900	367%	15%
Less Eliminations:	-550	-10	-340	5400%	62%
Total	27740	7740	20670	258%	34%
EBIDTA Margins					
A. Madhura Segment Total	16.0%	-14.2%	13.3%		
1. Madhura LifeStyle	17.5%	-13.1%	19.0%		
2. Other Madhura which includes innerwear	8.2%	-18.3%	-14.3%		
B. Pantaloon	21.2%	-25.0%	18.5%		
1. Madhura LifeStyle					
Wholesale	3150	670	3490	370%	-10%
Retail	7930	1920	4500	313%	76%
Others	4120	1760	2070	134%	99%

A. TOTAL MADHURA SEGMENT

1. Madhura Lifestyle Brands KTA's

- LTL @ 29% in Retail business over FY20
- Casual and Formal Wear did well || Revenue Contribution 45% Casual :55% Formal
- Whole-Sale business back to Pre-Covid-levels || business slightly impacted due to lack of business from "CENTRAL" and disintegration with Peter-England distributors
- Women's wear business +50% over Pre-Covid
- Market share expanded
- Peter England, Van Heusen and Allen Solly doing well in Smaller towns
- Van Heusen now in Tamil Nadu and UP || Allen Solly in Tamil Nadu, Andhra Pradesh and Telangana
- E-Commerce business +50%
- Small towns and casual-wear continued to witnessed growth
- Stores @2527 (+147 YoY)

2. Other Madhura business which includes innerwear

- Innerwear Outlets @ 29000 (+ 2000)
- E-commerce 3x Pre-Covid
- Portfolio now well balanced between Inner wear & Athleisure

- American Eagle Revenue 3x of Pre Covid || establishing itself as a premium denim wear brand || +5 new stores added
- Forever margins improved
- Super Premium Revenue +2x Pre-Covid || Delivered double digit EBIDTA margins

B. PANTALOON

- Stores 375||+4 in Q1FY23, +7 in July 22, target +70 to 80 in FY23 (20% franchise & 80% own)
- Value growth was higher v/s volume
- EOSS postponed: this aided margins to some extent and also would have impacted revenue
- EOSS period reduced to 4 weeks from 6 weeks.
- E-Commerce channel grew by 70% YoY
- Non Apparels is 10%
- Own Brands: MFL: Others 62:9:29 v/s 68:8:24 YoY

C. Ethnic Subsidiaries : Revenue @ Rs 1010mn v/s 380mn YoY || EBIDTA Rs 40mn v/s loss of Rs 70mn YoY

- JAYPORE: Revenue 3.5x YoY expanded to 11 stores || Home, Jewelry & Men's wear contributing to growth
- Shantanu & Nikhil: Sales 2x YoY (Stores 12 additions +2) || Ecom & SIS now brings ~30% of bridge revenue
- Sabyasachi: Revenue +160% || EBIDTA 4x YoY || Strong consumer acceptance of jewelry and accessories
- TASVA: opened 6 stores in Q1FY23 plan to end FY23 @ 60 stores.

D. Reebok

- Business transfer from Oct-2022|| Net Economic benefits will come from April-22

E. MASABA

- Completed the transaction to acquire majority stake in House of Masabaire
- 51% stake in 'House of Masaba Lifestyle Private Limited' to get entry into branded beauty and personal care segment @ Rs 900mn (this includes secondary and primary infusion) for 51%
- aim to clock Rs 5bn revenues

F. D2C brands subsidiary in the making

- to create platform for Direct to Consumer (D2C) business
- entity will organically incubate and also acquire promising and scalable D2C brands.
- Other than providing growth capital, ABFRL's proposition is built around its strong operational expertise where it will utilize its rich experience and capabilities to scale up this portfolio

Important Key Takeaways from previous Concalls

- **Fund Raise details**
 - Amount Rs 2195crs from GIC Singapore (via Caladium Investment Pte. Ltd)
 - Stake post complete infusion 7.5%
 - Approximate time line a) Rs 764 crs by H1FY23 for 1.02crs shares @ Rs 288.75 each (= 295crs) + 25% upfront payment for 6.5crs warrants @ Rs 288.75 each (= Rs 469crs)
 - b) Balance 75% i.e. Rs 1425crs payment for 6.5crs warrants @ Rs 288.75 each to be paid in the next 18 months.
- **Fund Utilization Details**
 - Amount would be mainly utilised for under-invested business for which expansion plans were held back due to Covid
 - a) Pantaloons where-in 70-75% are own stores
 - b) Renovation of Pantaloon stores
 - c) Investments in warehouse, supply chain and manufacturing (for Lifestyle business)
 - d) Network expansion of Ethnic brands
- **Store Opening targets for FY23**
 - Lifestyle brands ~ 300-400
 - Pantaloons ~70-80 stores (Investment ~ 150crs)
 - Ethnic Brand TASVA target to open ~50 stores
 - Jaypore ~ 15-20 stores
 - Sabyasachi to be expand international footprint
- Strategic foray into D2C business with a long-term vision of building a portfolio of digital first brands
- Net Debt @ Rs 649crs || Longterm Debt to Equity target remains in the range of 1 to 1.5x
- **Capex target** for FY23 is ~ 700crs

Quarterly Performance Analysis (standalone)

Exhibit 1

Particulars Rs Mns (Standalone)	Q1FY23	Q4FY21	Growth	Q4FY22	Growth
Revenue from Operations	27739.5	7740.2	258.4	21813.8	27.2
Other Income	287	241.5	18.8	248.9	15.3
COGS	12521.9	3902.9	220.8	9904.6	26.4
% of sales	45.1%	50.4%		45.4%	
Employee Benefit Expense	3021.2	2287.2	32.1	2673.2	13.0
% of sales	11%	30%		12%	
Other Expenses	5380.7	3168.1	69.8	4140.7	29.9
% of sales	19.4%	40.9%		19.0%	
Rent	2065.2	0		1382.4	
% of sales	7.4%	0.0%		6.3%	
Total	22989	9358.2	145.7	18100.9	27.0
% of sales	83%	121%		83%	
EBITDA excluding other income	4750.5	-1618	(393.6)	3712.9	27.9
EBITDA MARGINS	17.1%	-20.9%		17.0%	
EBITDA including other income	5037.5	-1376.5	(466.0)	3961.8	27.2
Depreciation	2517.8	2274.9	10.7	2505.1	0.5
Finance costs	887.6	837.9	5.9	849	4.5
exceptional items					
PBT	1632.1	-4489.3		607.7	168.6
Tax	396.2	-1137.1		111	
Tax Rate	24%	25%		18%	
PAT	1235.9	-3352.2	(136.9)	496.7	148.8
NPM	4%	-42%		2%	
NPAT	1235.9	-3352.2	(136.9)	496.7	148.8
Adjusted PAT	1235.9	-3352.2	(136.9)	496.7	148.8
Equity	9383.6	9150.8	2.5	9382.9	0.0
Face Value	10	10		10	
Number of Shares	938.36	915.08	2.5	938.29	0.0
Basic EPS Calculated	1.32	-3.66	-135.95	0.53	148.8

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Particulars (Rs. Bn)	FY24
Lifestyle Business	
Sales	62186
EBITDA	10457
Margins	16.8%
EV/EBITDA (x)	18
EV	188223
Pantaloons	
Sales	45605
EBITDA	7069
Margins	16%
EV/EBITDA (x)	16
EV	113100
Other Business	
Sales	12885
EV/Sales (x)	2
EV	25770
Ethnic wear	
Sales	5686
EV/Sales (x)	2
EV	11372
Total EV	338465
Debt + Lease Liability	38698
Cash	26630
Equity Value	326397
No of shares (fully diluted)	1014
Per share	322
CMP	278
Upside (%)	16%

Source: Dalal & Broacha Research, Company

Valuation:

We have reworked our numbers for FY23 and FY24 post the conference call and management outlook. We have also assumed dilution on account of the money infusion by GIC Singapore.

The expansion phase for the company's existing and new business is expected to pick-up pace and delivery would be key to watch.

With the recent funding from GIC Singapore the company's has enough Balance Sheet strength along with its existing cash-flows to fund organic as well as in-organic expansions.

We observed that the QoQ momentum was extremely strong for the business with higher contribution from premium products and price increases was absorbed easily.

We value ABFRL on SOTP basis assigning EV/EBIDTA of 18x to Lifestyle brands 16x to Pantaloons and 2x Sales to Other Business and Ethnic Wear business to arrive at a target price of **Rs 322** i.e. an upside of 16% in the next 12-18 months. We maintain our recommendation **Buy from long-term perspective**.

Financial

P&L (Rs mn) Standalone	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,425.3	51,811.4	78,242.0	1,06,312.8	1,20,676.0	Net Profit	(1,439.0)	(6,496.2)	(807.1)	1,476.1	2,018.2
						Add: Dep. & Amort	8,768.2	9,450.0	9,468.5	10,802.9	13,070.9
						Minority Interest	-	-	-	-	-
Cost of sales	75,171.6	45,868.1	67,447.2	90,977.6	1,03,905.1	Cash profits	7,329.2	2,953.8	8,661.4	12,279.1	15,089.1
						(Inc)/Dec in					
Operating Profit	12,253.7	5,943.3	10,794.8	15,335.2	16,770.9	-Sundry debtors	(536.0)	2,402.9	(1,545.0)	(2,706.6)	(1,384.9)
Depreciation	8,768.2	9,450.0	9,468.5	10,802.9	13,070.9	-Inventories	(4,281.2)	6,064.7	(9,863.0)	(9,791.6)	(5,010.2)
PBIT	3,485.5	(3,506.7)	1,326.3	4,532.3	3,700.1	-Loans/advances	(20.5)	14.7	(13.9)	(8.7)	(9.4)
Other income	650.9	726.4	940.9	1,066.4	2,342.1	-Current Liab and Provisions	(2,210.5)	(3,208.2)	14,439.2	1,627.3	5,737.4
Interest	4,227.3	4,983.9	3,401.9	3,625.2	3,344.0	- Other Assets	(572.7)	(1,808.8)	(1,849.3)	(1,133.3)	(1,246.6)
						- Non Current security Deposit	(277.3)	(47.5)	(38.3)	(299.5)	(307.3)
Profit before tax	(90.9)	(7,764.2)	(1,134.8)	1,973.5	2,698.2	Change in working capital	(7,898.2)	3,417.8	1,129.7	(12,312.3)	(2,221.0)
Exceptional and Extra Ordinary share of profit/loss in JV	-	-	-	-	-	CF from Oper. activities	(569.0)	6,371.6	9,791.1	(33.3)	12,868.1
PBT (Post Extra Ordinary)	(90.9)	(7,764.2)	(1,134.8)	1,973.5	2,698.2						
Provision for tax	1,348.1	(1,268.0)	(327.7)	497.3	679.9	CF from Inv. activities	(7,009.3)	(17,411.1)	(14,034.4)	(11,854.4)	(13,510.9)
Reported PAT	(1,439.0)	(6,496.2)	(807.1)	1,476.1	2,018.2						
MI	-	-	-	-	-	CF from Fin. activities	9,654.9	10,034.2	3,677.2	33,330.5	4,750.3
Adjusted PAT	(1,439.0)	(6,496.2)	(807.1)	1,476.1	2,018.2						
						Cash generated/(utilised)	2,076.6	(1,005.4)	(566.1)	21,442.8	4,107.5
						Cash at start of the year	574.1	2,650.7	1,645.4	1,079.2	22,522.0
						Cash at end of the year	2,650.7	1,645.4	1,079.2	22,522.0	26,629.5
							2,650.7	1,645.4	1,079.2	22,522.0	26,629.5
Balance Sheet	FY20	FY21E	FY22	FY23E	FY23E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	7,739.8	9,150.5	9,382.9	9,485.1	10,143.1	OPM	14.0	11.5	13.8	14.4	13.9
Reserves	3,119.2	17,695.3	19,438.5	49,393.0	69,753.2	NPM	(1.6)	(12.4)	(1.0)	1.4	1.6
Net worth	10,859.0	26,845.8	28,821.4	58,878.1	79,896.3	Tax rate	(1,483.1)	16.3	28.9	25.2	25.2
Minority Interest	-	-	-	-	-						
Non Current Liabilities	29,259.3	29,642.0	31,202.7	39,420.0	34,606.0	Growth Ratios (%)					
						Net Sales	7.7	(40.7)	51.0	35.9	13.5
Current Liabilities	56,771.3	39,913.8	55,989.9	57,857.3	60,416.6	Operating Profit	121.2	(51.5)	81.6	42.1	9.4
						PBIT	28.3	(200.6)	(137.8)	241.7	(18.4)
CAPITAL EMPLOYED	96,889.6	96,401.6	1,16,014.0	1,56,155.4	1,74,918.9	PAT	(144.8)	351.4	(87.6)	(282.9)	36.7
Non Current Assets	55,380.7	60,904.1	65,844.5	71,156.9	78,441.0	Per Share (Rs.)					
						Net Earnings (EPS)	(1.9)	(7.1)	(0.9)	1.6	2.0
Fixed Assets	29,123.5	26,813.6	29,529.2	34,288.2	40,985.8	Cash Earnings (CPS)	(13.2)	3.2	9.2	12.9	14.9
Non Current Investments	1,700.1	6,895.3	8,351.2	8,351.2	8,351.2	Dividend	-	-	-	-	-
Non Current tax assets	222.5	215.5	203.8	203.8	203.8	Book Value	14.0	29.3	30.7	62.1	78.8
Long Term Loans and Advances	34.3	25.9	36.3	38.1	40.0	Free Cash Flow	(9.8)	(12.1)	(4.5)	(12.5)	(0.6)
Other NON Current Assets	764.8	2,108.1	2,521.3	2,773.4	3,050.8						
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0						
Deferred Tax Assets	1,949.6	3,212.3	3,531.0	3,531.0	3,531.0						
Security Deposits	2,989.9	3,037.4	3,075.7	3,375.2	3,682.5						
Current Assets	41,508.9	35,497.5	50,169.5	84,998.5	96,477.8	Valuation Ratios					
Current investments	-	2,995.3	5,374.2	5,374.2	5,374.2	P/E(x)	(149.5)	(39.2)	(323.2)	178.6	139.7
Inventories	23,494.0	17,429.3	27,292.3	37,083.9	42,094.1	P/B(x)	19.8	9.5	9.1	4.5	3.5
Trade Receivables	8,401.9	5,999.0	7,544.0	10,250.6	11,635.4	EV/EBIDTA(x)	21.3	48.4	27.6	18.8	17.5
Cash and Bank Balances	2,650.7	1,645.4	1,079.2	22,522.0	26,629.5	Div. Yield(%)	-	-	-	-	-
Short Term Loans and Advances	71.2	64.9	68.4	75.2	82.8	FCF Yield(%)	(3.5)	(4.3)	(1.6)	(4.5)	(0.2)
Other Current Assets	6,891.1	7,363.6	8,811.4	9,692.5	10,661.8						
						Return Ratios (%)					
						ROE	-13%	-24%	-3%	3%	3%
Capital Deployed	96,889.6	96,401.6	1,16,014.0	1,56,155.4	1,74,918.9	ROCE	12%	-7%	6%	7%	7%

Source: Dalal & Broacha Research, Company

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